

**Time:** 5 minutes**Outcome:** Identify AD and SRAS shocks and compare their short-run effects.**Difficulty:** ●●○ Intermediate

Demand and Supply Shocks

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THE CORE IDEA

An aggregate-demand shock shifts AD and moves real GDP and the price level in the same direction. A short-run aggregate-supply shock shifts SRAS and moves real GDP and the price level in opposite directions. Favorable supply shocks raise output and lower the price level; adverse supply shocks lower output and raise the price level, producing stagflation when lower output accompanies inflation.

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HOW TO RECOGNIZE IT

- Spending changes shift AD: consumption, investment, government purchases, or net exports.
- Production-cost or expected-price changes shift SRAS.
- Demand shock: output and price level move together in the short run.
- Supply shock: output and price level move in opposite directions.

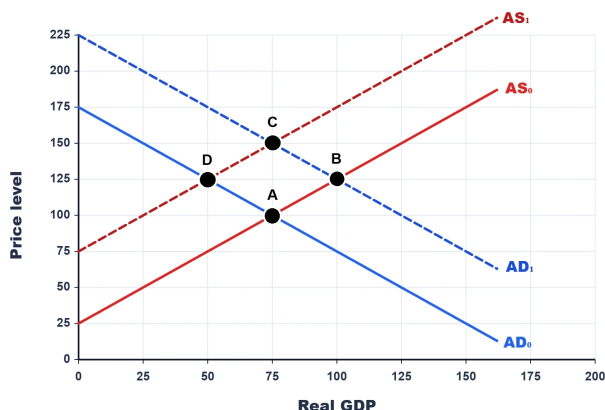
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WATCH OUT

Do not classify a shock from the outcome alone when several curves move. Identify the initiating event, shift each curve separately, then combine the effects.

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WORKED EXAMPLE: ONE SHIFT AT A TIME



From A, an AD increase alone moves equilibrium to B: output rises from 75 to 100 and the price level from 100 to 125. An adverse SRAS shift alone moves A to D: output falls from 75 to 50 while the price level rises to 125. The second pattern is stagflation.

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CHECK YOURSELF

Oil prices fall sharply. Which curve shifts, and what happens to output and the price level?

**READY?****Return to the game and master this concept.**